other entities with whom it has a significant relationship, such as pledgees, transfer agents, or SROs, any material (including, for example, manuals, notices, circulars, bulletins, lists or periodicals), a registered clearing agency shall file three copies of such material with the Commission.[202] A registered clearing agency for which the Commission is not the ARA at the same time had to file one copy of such material with its ARA.[203] Since the Updated Staff Statement was issued, registered clearing agencies have been submitting electronic copies of filings required under Rule 17a-22 to the Commission through a dedicated email inbox, rather than submitting paper copies.[204]

B. Amended Rule 17a-22

The Commission is amending Rule 17a-22, as proposed, to: (i) replace the requirement to file supplementary materials with the Commission or an ARA in paper form with a requirement to prominently post such materials on the clearing agency's internet website; and (ii) reduce the timeframe for compliance with the rule from 10 days to 2 business days for the posting requirement.[205] By replacing the paper filing requirement for registered clearing agencies with an electronic posting requirement via the clearing agency's internet website, the amendment aligns with the Commission's larger-scale objective tied to its mission of enhancing the efficiency and effectiveness of its regulatory regime for registered clearing agencies under the Exchange Act.

---

202 See 17 CFR 240.17a-22.

203 See id.

204 See supra note 7.

205 In consultation with the Federal Reserve, the Commission is removing the obligation to send an additional paper copy to a clearing agency's ARA from Rule 17a-22. If the supplemental materials are prominently posted on the clearing agency's internet website, all its regulatory authorities will have access to them, removing the need to file an additional paper copy. Separate from any requirements in Rule 17a-22, certain provisions in section 17A of the Exchange Act require notice to the ARA, and the amendments to Rule 17a-22 do not affect those provisions. See, e.g., 15 U.S.C. 78q-1(b)(5)(C).

Rule 17a-22, as amended, requires that within 2 business days after issuing, or making generally available, to its participants or other entities with whom it has a significant relationship, any material (including, for example, manuals, notices, circulars, bulletins, lists or periodicals) that is not otherwise required to be posted on its internet website pursuant to any requirement under section 19(b) of the Exchange Act or the rules thereunder, a registered clearing agency shall prominently post such material on its internet website.

The Commission received one comment letter specifically addressing the proposed amendments to Rule 17a-22.[206] In that comment letter, an equity derivatives clearing agency registered with the Commission, OCC, stated that it supports the proposed amendments to Rule 17a-22 because the rule, as amended, removes duplicative and administratively burdensome requirements. However, OCC suggests clarification on the scope of supplemental materials that are made "generally available."[207] As discussed in more detail in the relevant sections below, the Commission is not making further changes to Rule 17a-22, as proposed, but is providing certain clarification to address OCC's concern.

1. Two-Day Timeframe for Compliance

Reducing the notice timeframe from 10 days to 2 business days is reasonable and appropriate for three reasons. First, the timeframe of 2 business days helps ensure the timely dissemination of information to affected market participants and is consistent with a registered clearing agency's obligation under Rule 19b-4(m) to update its internet website to post any rule changes filed pursuant to Exchange Act Rule 19b-4 within two business days.[208] As discussed

---

206 See OCC 5/22/2023 Letter.

207 In its comment letter, OCC suggested that the Commission clarify certain language in order to avoid ambiguity on the scope of supplemental materials made "generally available." OCC 5/22/2023 Letter at 4. This comment is discussed in more detail below in Section III.C.3 below.

208 See 17 CFR 240.19b-4(m).

above, supplementary materials required by Rule 17a-22 are important to the Commission's ongoing supervision of clearing agencies, and the timely posting of such materials ensures that Commission supervision is effectively considering the most current information available to the clearing agency and its participants.[209] Clearing agencies should already have established internal policies and procedures in place to meet these posting requirements for proposed rule changes, and these procedures could be reasonably replicated to meet the timeframes under the amendments to Rule 17a-22. Second, by replacing the requirement to file paper copies with a requirement to post the materials on the clearing agency's internet website, the time required to comply with the amended rule (when compared to the current rule) should be significantly reduced. By eliminating the paper filing requirement, clearing agencies should no longer have to expend the time and resources associated with copying, packaging, and mailing three copies of supplemental materials to the Commission and, where applicable, the ARA, which should in turn allow for shorter compliance timeframes. Third, 2 business days for posting is reasonable because the supplemental materials will have already been prepared for distribution to its participants or other entities with whom it has a significant relationship, and as such, should be readily available for posting to the clearing agency's internet website within the 2 business days.

2. Scope of Supplemental Materials

Rule 17a-22, as amended, does not change the scope of supplemental materials to which the rule previously applied. Accordingly, the amended rule retains the language that any supplemental material issued or made generally available to a clearing agency's participants or other entities with whom it has a significant relationship is subject to Rule 17a-22. The amended rule retains the list of illustrative examples of types of supplemental materials. In addition,

---

[209] See supra section I.C.

copies of any material issued or made generally available to participants or other entities with whom the clearing agency has significant relationships (e.g., issuers, transfer agents, custodian, service providers, other non-participant entities that avail themselves of clearing agency services, etc.) are, under the current rule, required to be filed, where applicable.

Because the significant relationships vary across clearing agencies, the Commission is deleting the list of examples of such relationships from the rule text. However, the removal of these examples from the text of the rule is not an indication that these entities are no longer considered within the scope of the rule. Rather, the Commission is eliminating this list to ensure that clearing agencies consider appropriately the universe of entities with whom they have a significant relationship, which varies by registered clearing agency because they serve different markets or offer different services and may also change over time as market practices evolve. Issuers, transfer agents, custodians, service providers, and other non-participant entities that use the clearing agency's services continue to be examples of the types of entities to whom a clearing agency may provide supplementary materials under the rule, and the revisions are intended to avoid confusion because certain types of relationships, such as issuers and transfer agents, exist in some markets but not others. A clearing agency generally should consider the markets it serves, the services it offers, and the universe of entities with whom it has a significant relationship when addressing its compliance with the rule.

While the scope of supplemental materials subject to the rule remains unchanged under the amended rule, the Commission is adding new rule text to expressly exclude any materials subject to section 19(b) of the Exchange Act or rules thereunder from the supplemental materials posting requirement, and thereby specify that the materials subject to Rule 17a-22, as amended, are distinct from any posting requirements under section 19(b) and Rule 19b-4 thereunder. This

added text is consistent with the Commission's stated purpose of Rule 17a-22 when it was adopted in 1980,[210] and this change is intended to avoid the imposition of duplicative posting requirements.

Specifically, in the original Rule 17a-22 Adopting Release, the Commission also amended, among other things, the requirements applicable to the filing by SROs of proposed rule changes and certain other materials under Rule 19b-4 and Form 19b-4.[211] There, the Commission revoked a provision on Form 19b-4B requiring SROs to file notice of stated policies, practices, and interpretations not deemed to be rules because, in part, the provision duplicated the filing requirements in Rules 6a-3, 15Aj-1, and 17a-21.[212] These rules required national securities exchanges, registered securities associations, and the MSRB, respectively, to submit to the Commission any material they made generally available. Accordingly, in conjunction with its revocation of the above-noted provision of Form 19b-4B, the Commission adopted Rule 17a-22, which established a filing requirement for registered clearing agencies parallel to the filing requirement under Rules 6a-3, 15Aj-1, and 17a-21. In so doing, the Commission distinguished between materials subject to Rule 19b-4 and those subject to the supplemental material rules. The inclusion of new text relating to Rule 19b-4 is meant to specify clearing agencies' obligations under Rule 17a-22 as being separate and distinct from the obligation under Rule 19b-4. In general, a clearing agency should consider within the scope of

---

210 See generally Rule 17a-22 Adopting Release.

211 Id.

212 Id. See also 17 CFR 240.6a-3; 17 CFR 240.15Aj-1; and 17 CFR 240.17a-21. Rule 6a-3 was amended in 2001 to allow a national securities exchange the option of posting supplementary information to its website and certifying that the information available on its website is accurate as of its date. See Exchange Act Release No. 44692 (Aug. 13, 2001), 66 FR 43721 (Aug. 20, 2001). Since the adoption of this amendment, usage of and familiarity with the internet among affected market participants has increased substantially, and so in amending Rule 17a-22, it is appropriate to transition the requirement in Rule 17a-22 for clearing agencies solely to internet posting.

Rule 17a-22 policies, procedures, and other documents that help explain to affected parties the rules of the clearing agency but are not also required to be filed under Rule 19b-4.

3. Meaning of "Generally Available"

The existing requirement under Rule 17a-22 to post only those materials that the clearing agency is "making generally available" remains unchanged from the original rule and as proposed. Any document that is made "generally available" to a wide or diverse group of individuals or entities should be considered supplemental material and as such, posted to the clearing agency's website. In the Commission's experience, most, if not all, of the filings required by Rule 17a-22 are already being posted on a registered clearing agency's website. Moreover, as stated in the Proposing Release, the Commission does not envision that those documents of a confidential or sensitive nature, or that would cause harm if publicly disclosed, fall within the scope of the rule.

OCC requested that the Commission clarify Rule 17a-22's text relating to the scope of certain supplemental materials made "generally available" to certain wide groups of entities with whom the clearing agency has a significant relationship, particularly as it relates to materials that may be considered confidential or sensitive. In particular, OCC stated that the amended rule could be interpreted to mean that any materials provided to a clearing agency's members or other entities (i.e., a wide or diverse group of entities) could be considered "generally available" and therefore necessarily not confidential or sensitive.[213] OCC stated that, while some of the information a clearing agency may provide to clearing members or other entities to whom it has a significant relationship is appropriate to post publicly on its website, other materials provided to entities with whom it has a significant relationship are not appropriate for public disclosure.

---

[213] OCC 5/22/2023 Letter at 5.

Examples of such materials include, according to OCC, instructions and technical information relating to connectivity, security practices, the operation of systems that only participating exchanges may access, or directories with direct contact information for employees within the clearing agency.[214] Consequently, OCC suggested that the Commission clarify that materials do not become "generally available" solely because such materials are provided to a wide or diverse group of entities.[215]

Some of the ambiguity, OCC explained, is created by Rule 17a-22 rule text that refers to "issuing, or making generally available" materials to relevant entities.[216] OCC states that neither the existing rule nor the proposed rule defines the text "issuing or making generally available" to exclude documents of a confidential or sensitive nature that a clearing agency may provide to its clearing members or other participants as a group, even if those documents could cause harm if publicly disclosed.[217] The commenter also proposes that the Commission consider revising the text to remove the reference to "issuing," which appears to OCC to be duplicative to the reference to "making."[218] OCC states that the inclusion of "service providers" in the Commission's discussion of entities with whom a clearing agency has a significant relationship for purposes of Rule 17a-22 provides further support for its "understanding."[219] Such service providers could include, among many others, cybersecurity and cloud services providers, "with

---

214 Id.

215 Id.

216 Id.

217 Id. at 5-6.

218 Id.

219 OCC 5/22/2023 Letter at 6. As discussed in the proposing release, clearing agencies must make an assessment as to whether any type of entity, including service providers, is the type of entity with whom the clearing agency has a significant relationship and whether materials provided to that type of entity are made "generally available." See Proposing Release at 23945-23946.

whom the Commission would presumably expect the clearing agency to have sensitive and confidential communications."[220] For such communications to fall outside of Rule 17a-22, OCC asserts that there must therefore be a category of communications with even a wide group of service providers or other relevant entities that are not considered "generally available." The Commission, OCC suggests, should therefore clarify that not all documents provided to entities with whom a clearing agency has a significant relationship are, through such provisions, made "generally available," even when provided to those entities as a group. That is, the Commission should clarify that only those materials provided to entities with whom a clearing agency has a significant relationship that the clearing agency also makes generally available are subject to Rule 17a-22.[221]

As previously discussed above and stated in the Proposing Release, any document made "generally available" to a wide or diverse group of individuals or entities should be considered supplemental materials and as such posted to the clearing agency's website. However, documents of a confidential or sensitive nature, or those that would cause harm if publicly disclosed, fall outside the scope of both preexisting Rule 17a-22 and amended Rule 17a-22 because such documents would not be sent to a wide or diverse group of individuals.[222] Clearing agencies often send certain documents that relate to sensitive or confidential information, such as security systems, sensitive trade or financial data, and surveillance methods, to a large number of persons or entities with whom the clearing agency has a significant relationship, such as participants or service providers, or to a smaller group of diverse persons or entities, such as

---

220 Id.

221 Id. at 6.

222 See Proposing Release at 23945-23946.

technology companies that interface with clearing agency. However, distributions of this kind are not "generally available" because they are not intended for public viewing. To avoid causing harm to the clearing agency, markets, or participants, clearing agencies have a vested interest in ensuring that such sensitive or confidential material is distributed to the least number of persons or entities that have a need to know the information contained in the sensitive or confidential materials. This approach thereby ensures a limited distribution of the documents. In other words, by their nature, documents which are sensitive or confidential would not be considered documents made "generally available" and therefore would not be supplementary material. Therefore, such documents also would be beyond the scope of the rule's requirements.

In determining whether supplemental materials should be considered "generally available" and thus, subject to the posting requirements of Rule 17a-22, clearing agencies generally should consider all the facts and circumstances related to making public supplementary materials to a specific group or groups of persons or entities. For example, a clearing agency generally could consider the number and type of persons or entities to whom the supplemental materials are distributed in determining whether materials are "generally available." A clearing agency generally could also consider the nature of the group to whom the distribution is made and the nature of the materials being distributed, particularly as it relates to harm that would result if publicly disclosed, and whether the limited distribution is consistent with its rules or policies for the treatment of confidential or sensitive information.

With regard to OCC's suggestion to revise the rule text to remove the reference in the rule text to "issuing" because it is ambiguous or duplicative with the reference to "making generally available," the Commission does not agree.[223] The Commission is retaining the

---

[223] OCC 5/22/2023 Letter at 5-6.

terminology as proposed to ensure that supplementary materials are within scope of the rule regardless of the particular mechanism a clearing agency may choose or use to distribute them.[224]

4. Requirement to "Prominently Post"

Finally, in the amendment to Rule 17a-22 that requires the clearing agency to "prominently post" any supplemental material subject to the amended rule on the clearing agency's website, the Commission is interpreting, as proposed, "prominently" to mean that the supplemental materials are readily identifiable and accessible on the website for as long as the information remains applicable to affected parties. If access to the supplemental materials requires in-depth familiarity with the website or is not readily apparent because it requires searching through multiple layers to access the information, the supplemental materials generally would not be considered prominently posted. A clearing agency generally should make supplemental materials available at a prominently posted hyperlink on the clearing agency's website that is free and accessible (without any encumbrances or restrictions) by the general public. To the extent such a link does not already exist, a registered clearing agency could consider creating a specific web page that identifies and catalogues (such as through a list of hyperlinks) the supplemental materials that it maintains pursuant to Rule 17a-22.

---

[224] In the release proposing Rule 17a-22 in 1979, the Commission intended to establish for registered clearing agencies a filing requirement that generally paralleled the filing requirements imposed under Rules 6a-3, 15Aj-1, and 17a-21 (requiring national securities exchanges, registered securities associations, and the MSRB to make certain materials available to the Commission), thus requiring clearing agencies to file with the Commission material that they "distribute or make generally available" to their participants, pledgees or transfer agents. Exchange Act Release No. 15838 (May 18, 1979), 44 FR 30924, 30929 (May 29, 1979). The rule text, as proposed in 1979 and then adopted in 1980, refers to "issuing or making generally available." Id. at 30934; Exchange Act Release No. 17258, 45 FR 73914 (Nov. 7, 1980).